

The Rules

Chapter 1 presents the three-part formula for very early retirement:

Do your arithmetic
Do some soul-searching
Do what you want

First, *do your arithmetic* to figure out how much net worth you have. Unless you opt for bare-bones retirement (chapter 11), before you retire you should have \$400,000 to \$500,000 of net worth, including equity in your home. To retire:

Turn hard assets into cash (chapter 1)
Convert home equity to cash (chapter 4)
Convert other assets to cash (chapter 4)

With the proceeds:

Buy one-year insured CDs (chapters 1, 4)

The CDs will throw off enough money for you to:

Live on \$50 a day (chapters 1, 8)
